

Lesson 8: Marginal Cost and Marginal Revenue

Assessment Criteria	Exemplary (4)	Proficient (3)	Developing (2)	Beginning (1)
Conceptual Understanding	Demonstrates a deep understanding that $MC = MR$ maximizes profit. Explains <i>why</i> $MR > MC$ implies increasing production, and $MC > MR$ implies decreasing it.	Correctly identifies that $MC = MR$ is the goal. Understands the definitions of marginal cost and marginal revenue.	Identifies $MC = MR$ but has difficulty explaining the economic rationale for why this maximizes profit.	Confuses marginal concepts with total or average concepts. Cannot identify the profit-maximization rule.
Mathematical Calculation	Correctly calculates Marginal Revenue and Marginal Cost.	Calculates marginal values correctly, with only minor arithmetic errors that do not affect the understanding of the model.	Struggles to differentiate between total cost and variable cost when calculating marginal cost. Frequent calculation errors.	Incapable of calculating marginal values from total revenue or total cost data.